EXECUTIVE SUMMARY

A. Introduction

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 87,606 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

Financial, compliance, and performance audit were conducted on the accounts and operations of the LGU-Solana, Cagayan for the calendar year 2022. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules, and regulations, as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained in an efficient, economic and effective manner.

B. Operational Highlights

The following programs, projects and activities charged under the different sources of the fund of the Municipality of Solana, Cagayan were completed in 2022:

Programs/Projects/Activities	Total Cost Incurred
Purchase of Drugs and Medicines	₱2,236,683.00
Purchase of Medical, Dental and Laboratory Supplies	5,351,204.00
Purchase of 1 unit of auto hematology analyzer	549,000.00
Purchase of 1 unit of semi-auto chemistry analyzer	459,000.00
Purchase of 1 unit of ECG machine 3 channel	100,000.00
Purchase of 2 units Microscope	248,000.00
Construction of Retaining Wall and Concrete Pavement-Nangalisan	11,422,363.40
Concreting of Road-Centro Southwest	12,659,208.64
Concreting of Road-Basi East	932,744.82
Concreting of Road-General Balao	1,419,983.95
Concreting of Road-Sitio Panag, Sampaguita	599,376.76
Concreting of Road Shoulder-Centro Southeast	821,886.18
Rehabilitation/Concreting of Road-Centro Northeast	1,995,218.88
Installation of Streetlighting-Centro Southwest	1,264,256.04
Rehabilitation of Multi-Purpose Building-Nangalisan	3,455,306.80
Construction of Garaga and Drop-Off Area-New Municipal Health Office	848,003.46
Construction of Service Ramp-New Municipal Health Office	1,115,377.84
Rehabilitation of Solana Public Market-Centro Southeast	1,676,048.30
Installation of Solar Street Lighting-Junction Nangalisan to Gen. Balao	1,992,869.46
Fabrication of 5 units medical equipment (steel shelves)-New MHO	97,000.00
Rehabilitation of Road-Lanna to Bangag	2,713,691.04

Acquisition of Heavy Equipment	7,558,620.48
Provision of Elevation of Floor Slab of Multi-Purpose	1,361,774.34
Construction of Barangay Health Center-Sitio Damortis-Sampaguita	560,714.20
Food Supplies for Distribution	316,900.00
Construction of Isolation Facility	10,993,589.86
Swift Water Rescue Training	288,760.00
Installation of Early Warning Devices in Flood Prone Barangays	297,187.38
Flood Map Simulation and Data Management System	1,245,000.00
1 Unit Generator Set	49,060.00
Purchase of 19 Fire Extinguishers	44,555.00
Land Development and Construction of 60 Duplex Housing Units	49,998,357.25
Establishment of Solana Trading Center	14,000,000.00
Supplementary Feeding Program 11th Cycle	2,907,000.00
Pilot Implementation of the Social Protection Program for Adolescent Mot	300,000.00
Construction of Children's Playground Gadu Solana	500,000.00
Rehab/Concreting of Road Bantay, Solana	10,000,000.00
TOTAL	**₱152,378,741.08**

C. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Solana, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Accounts	2022	2021	Increase/(Decrease)
Assets	₱1,093,582,645.85	₱905,750,338.74	₱187,832,307.11
Liabilities	274,833,904.00	259,546,961.92	15,286,942.08
Government Equity	818,748,741.85	646,203,376.82	172,545,365.03
Income	483,228,677.01	332,039,030.23	151,189,646.78
Expense	337,236,533.78	269,208,843.1	68,027,690.68
Appropriation	427,564,265.55	308,399,112.17	119,165,153.38
Obligation	400,796,243.43	296,419,567.46	104,376,675.97

The balances of funds received by the Municipality and transferred to other agencies and non-government and people's organizations for CY 2022, with comparative figures for CY 2021, are presented in the following table:

Funds Received from Other Agencies	2022	2021	Increase/(Decrease)
Due to NGAs	₱9,142,842.33	₱14,141,359.25	₱(4,998,516.92)
Due to LGUs	8,887,983.02	8,434,107.53	453,875.49
Due to GOCCs	518,942.85	518,942.85	0.00
Total	**₱18,549,768.2**	**₱23,094,409.63**	**₱ (4,544,641.43)**

Funds Transferred to Other Agencies	2022	2021	Increase/(Decrease)
Due from NGAs	₱0.00	₱0.00	₱0.00
Due from LGUs	5,717,785.70	6,690,285.70	(972,500)
Due from NGOs/POs	0.00	0.00	0.00
Due from Others	6,319,680.20	4,048,452.24	2,271,227.96
Total	**₱12,037,465.9**	**₱10,738,737.94**	**₱1,298,727.96**

D. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Solana, Cagayan for the year-ended December 31, 2022 due to the following misstatements aggregating to P51,529,099.14 on account errors, omission and improper accounting treatment of transactions that are considered departures from the IPSAS.

The audit of the financial statements of the Municipality of Solana disclosed misstatements totaling P51,529,099.14 in absolute value as follows:

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Cash in Bank – Local Currency, Current Account	₱22,450,776.18	-	-	₱22,450,776.18
Medical, Dental and Laboratory Supplies Expenses; Grants and Donations in Kind	-	-	₱16,311,722.38	16,311,722.38
Trust Liabilities-DRRMF	-	₱5,877,939.54	-	5,877,939.54
Real Property Tax Receivable	2,684,405.46	-	-	2,684,405.46
Deferred Real Property Tax; Deferred Special Education Fund Tax	-	2,684,405.46	-	2,684,405.46
Office Equipment	476,556.25	-	-	476,556.25
Furniture and Fixtures	69,856.69	-	-	69,856.69
Information and Communication Technology Equipment	526,454.64	-	-	526,454.64
Technical and Scientific Equipment	896.00	-	-	896.00
Other Machinery and Equipment	42,287.42	-	-	42,287.42
Other Property, Plant and Equipment	108,268.88	-	-	108,268.88
Depreciation Expense; Accumulated Depreciation	-	-	295,530.24	295,530.24
Total	**₱26,359,501.52**	**₱8,562,345.00**	**₱16,607,252.62**	**₱51,529,099.14**

As a result, the following accounts in the financial statements of the Municipality of Solana were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Cash in Bank – Local Currency, Current Account	₱22,450,776.18	-	1
Medical, Dental and Laboratory Supplies Expenses; Grants and Donations in Kind	16,311,722.38	-	2
Trust Liabilities-DRRMF	5,877,939.54	-	5
Real Property Tax Receivable	2,684,405.46	-	4
Deferred Real Property Tax; Deferred Special Education Fund Tax	2,684,405.46	-	4
Office Equipment	-	₱476,556.25	5
Furniture and Fixtures	-	69,856.69	5
Information and Communication Technology Equipment	-	526,454.64	5
Technical and Scientific Equipment	-	896.00	5
Other Machinery and Equipment	-	42,287.42	5
Other Property, Plant and Equipment	-	108,268.88	5
Depreciation Expense; Accumulated Depreciation	295,530.24	-	6
Total	**₱50,304,779.26**	**₱1,224,319.88**	

E. Summary of Significant Observations and Recommendations

1. Notable provisions of the Memorandum of Agreement for the Construction of Solana Agricultural Trading Center, Lannig Solana project with a contract cost of P13,990,153.90 were not strictly complied with by the Municipality, thereby exposing it to the risk that it may no longer be considered for additional grants or fund transfers.

We recommended that the Municipal Mayor and the Sangguniang Bayan consider updating or amending Executive Order No. 3-B series of 2022 dated February 7, 2022 and Resolution No. 2017-27 dated January 18, 2017, respectively, to include certain particulars and provisions which would be in full compliance to relevant terms of the Memorandum of Agreement entered into by and between DA RFO No. 02, DENR RO No. 02 and the Municipality.

Also, we recommended that the Municipality ensure faithful adherence to all provisions of agreements or contracts executed with other local government units, national government agencies and other organizations, in order to prevent any risk of not being able to continuously request and receive financial assistance or fund transfers.

2. **The implementation of the programs and projects with a budgeted amount of P8,535,497.22 funded under the 20% Development Fund of the Municipality for CY 2022 was delayed. Consequently, the benefits to be derived from the projects were not enjoyed by the intended beneficiaries.**

   We recommended that the Bids and Awards Committee and the Municipal Engineering and General Services Offices fast track the procurement and implementation of the programs and projects funded under the 20% Local Development Fund for CY 2022 to ensure that constituents are able to enjoy the benefits that they could derive therefrom.

3. **A portion of the Local Disaster Risk Reduction and Management Fund for CY 2022 totaling P3,179,766.43 remained unutilized as of December 31, 2022, thereby depriving the constituents of the benefits that they could have derived had the programs/activities been implemented on a timely manner.**

   We recommended that the MDRRMO fast track the implementation of the programs and projects funded under the aforementioned components of the Local Disaster Risk Reduction and Management Fund for CY 2022 to ensure that the Municipality are given adequate and quality equipment and facilities and other enhanced capabilities to better perform its mandate and allow the constituents to enjoy the benefits that they could derive from it at the soonest possible time.

4. **The actual revenue collections of the Municipality fell short of the FY 2022 annual revenue targets set by the Bureau of Local Government Finance (BLGF) by P15,473,466.18 or 29.66% of the total target revenue collections amounting to P52,174,382.00, hence, demonstrating the Municipality's inability to fully realize income potentials which contributed to the underachievement of the commitment under the Philippine Development Plan (PDP) 2017-2022.**

   We recommended that the Municipal Treasurer revisit its collection policies and strategies to identify new measures to improve revenue collection efficiency of the Municipality, particularly on the collection of Real Property Taxes, to fully realize income potentials and provide additional funds to finance socio-economic and development programs and projects of the Municipality.

5. **The calculated bid price of the winning contractor amounting to P2,021,305.38 exceeded the Approved Budget of Contract for the Rehabilitation/Concreting of Road at Centro Northeast project amounting to P2,000,000.00 by an amount of P21,305.38, which is in contravention to Sections 31.1, 32.2.1(b) and 32.2.4 of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184.**

Moreover, the PCAB License submitted by the contractor was already expired during the opening of bids for the said project, which is contrary to Section 23.1 (a) (vi) of the same rules and regulations.

We recommended that the BAC perform the detailed evaluation and post-qualification of eligible bids carefully and properly to ensure that computational errors and omissions are considered to enable proper comparison thereof and to avoid the acceptance of bids which exceed the project's ABC, in faithful adherence to Sections 31.1, 32.2.1(b) and 32.2.4 of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184.

Further, we recommended that the BAC exercise care and prudence in the examination of various eligibility documents submitted by prospective bidders in faithful adherence to relevant provisions of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184 to prevent the award of contracts to ineligible contractors and suppliers.

F. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	P17,378,943.64	0.00	0.00	P17,378,943.64	0.00%
Current Year	0.00	0.00	0.00		0.00%
Total	**P17,378,943.64**	**0.00**	**0.00**	**P17,378,943.64**	**0.00%**
Disallowances:					
Prior Years	P377,968.36	0.00	P125,720.00	P252,248.36	33.26%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P377,968.36**	**0.00**	**P125,720.00**	**P252,248.36**	**33.260%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00%**

G. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2021 Annual Audit Report are summarized as follows:

Implemented	16
Not implemented	-
Not implemented and reiterated in CY 2022 AAR	7
Total	**23**